
JANSSEN PHARMACEUTICAL UNLIMITED COMPANY
(Formerly known as Janssen Pharmaceutical)

ANNUAL REPORT
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021

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COMPANY INFORMATION

Directors	Hugh Murphy Lorcan Travers Dave Geelan Marie Tyndall (appointed 24 November 2020)
Company secretary	Matsack Trust Limited
Registered number	79963
Registered office	Little Island Industrial Estate Little Island Cork, Ireland
Independent auditors	PricewaterhouseCoopers Chartered Accountants and Statutory Audit Firm One Albert Quay Cork, Ireland
Bankers	Citibank 25 Canada Square Canary Wharf London E14 5LB United Kingdom
Solicitors	Eugene F Collins Temple Chambers 3 Burlington Road Dublin 4, Ireland

**DIRECTORS' REPORT
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021**

The directors present their annual report and the audited financial statements for the financial year ended 3 January 2021.

Statement of directors' responsibilities

The directors are responsible for preparing the directors' report and the financial statements in accordance with Irish law.

Irish law requires the directors to prepare financial statements for each financial year giving a true and fair view of the company's assets, liabilities and financial position at the end of the financial year and profit or loss of the company for the financial year. Under that law, the directors have prepared the financial statement in accordance with Irish Generally Accepted Accounting Practice (accounting standards issued by the UK Financial Reporting Council, including Financial Reporting Standard 101 Reduced Disclosure Framework and Irish law).

Under Irish law, the directors shall not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the company for the financial year and of the profit or loss of the company for the financial year.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgments and accounting estimates that are reasonable and prudent;
- state whether the financial statements have been prepared in accordance with applicable accounting standards and identify the standards in question, subject to any material departures from those standards being disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to:

- correctly record and explain the transactions of the company;
- enable, at any time, the assets, liabilities, financial position and profit or loss of the company to be determined with reasonable accuracy; and
- enable the directors to ensure that the financial statements comply with the Companies Act 2014 and enable those financial statement to be audited.

The directors are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

**DIRECTORS' REPORT (CONTINUED)
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021**

Principal activities, review of the business and future developments

Janssen Pharmaceutical Unlimited Company is an investment holding company. It is a fully owned subsidiary of Johnson & Johnson.

The company has received dividend income from its subsidiaries Depuy Ireland Unlimited Company in amount of €1,400,000,000, Janssen Pharmaceutical Sciences Unlimited Company in the amount of €100,000,000 and Janssen Alzheimer Immunotherapy (Holdings) Ltd in the amount of €11,187,389 (2019: Johnson & Johnson European Treasury Company €1,204,721).

The principal activity of the company is to act as an investment holding company now and in future financial years.

As of the financial statement issuance date, the country, region and world are continuing to be impacted by the coronavirus (COVID-19). Although the situation is still evolving at the date of issue of these financial statements, there is no tangible impact on the Company's activity however, the impact of this situation on the Company in the future cannot be predicted. Management will continue to closely monitor the potential impact of these events and will take all possible measures to mitigate possible consequence.

The company's financial year ends on the Sunday closest to 31 December, being 3 January 2021 for the current year (53 weeks) and 29 December 2019 for the prior year (52 weeks).

Profits, dividends and reserves

The profit for the financial year, after taxation, amounted to €2,324,582,000 (2019: loss of €538,276,000).

The directors recommended the dividend payment of €15,976,612,000 (2019: €Nil).

The company's statement of financial position shows total equity at 3 January 2021 of €8,330,793,000 (2019: €21,982,823,000).

Principal risks and uncertainties

The management of the business and the execution of the company's strategy are subject to a number of risks.

The key business risks and uncertainties affecting the company are considered to relate to general industry conditions and competition; economic conditions, such as currency exchange rate fluctuations; technological advances; challenges inherent in new product development; and trends toward health care cost containment. The risks and uncertainties are managed at regular board meetings., and where applicable, actions are taken to mitigate the risks.

Financial risk management

The policies set by the group are implemented by the company's finance department. The department has a policy and procedures manual that sets out specific guidelines to manage price risk, credit risk, liquidity risk, interest rate cash flow risk and foreign exchange risk and circumstances where it would be appropriate to use financial instruments to manage these. The company does not have significant exposure to price risk, credit risk, liquidity risk or interest rate cash flow risk.

Research and development

Research and development for the group are carried out by other companies in the Johnson & Johnson group.

**DIRECTORS' REPORT (CONTINUED)
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021**

Subsequent events

On 29 July 2021 the company's sole shareholder, Cilag GmbH International, injected further capital into the company by way of subscription of 1,000,000 ordinary shares of €1.25 each in the capital of the company.

On 30 November 2021, the company changed its name from Janssen Pharmaceutical to Janssen Pharmaceutical Unlimited Company.

On 10 March 2022 the Company's sole shareholder, Cilag GmbH International proposed to inject further capital into the Company by way of a subscription for 1,000,000 ordinary shares of EUR 1.25 each in the capital of the Company. With this injection of capital the Company proposes to repay \$1,500,000,000 of an intercompany debt owed to Johnson & Johnson European Treasury Unlimited Company.

There have been no other significant events affecting the company since the year end.

Directors and secretary

The names of the persons who are currently or were directors at any time during the financial year ended 3 January 2021 are set out below. Except where indicated, they served for the full year:

Hugh Murphy
Lorcan Travers
Brendan O'Leary (resigned 31 December 2020)
Dave Geelan
Marie Tyndall (appointed 24 November 2020)

Brendan O'Leary was the company secretary until his resignation on 31 December 2020. Matsack Trust Limited became the company secretary as at 31 December 2020.

Directors' and secretary's interests

The directors and secretary and their families had no other interest in the shares of the company or any other group company that is required to be disclosed in accordance with section 329 of the Companies Act 2014.

Accounting records

The measures taken by the directors to ensure compliance with the requirements of Sections 281 to 285 of the Companies Act 2014 with regard to the keeping of accounting records, are the support of appropriately qualified accounting personnel and the maintenance of computerised accounting systems. The company's accounting records are maintained at Little Island Industrial Estate, Little Island, Cork, Ireland.

Political donations

The Electoral (Amendment) (Political Funding) Act, 2012, requires companies to disclose all political donations over €200 in aggregate made during the financial year. The directors, on enquiry, have satisfied themselves that no such donations in excess of this amount have been made by the company.

**DIRECTORS' REPORT (CONTINUED)
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021****Going concern**

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end €10,405,800,000 (2019: €12,730,382,000).

The net current liability position at year-end is primarily due to treasury loans with affiliate companies. Intercompany transactions are settled and renewed with affiliate companies as required with business needs. Affiliate companies only request repayment when the counterparty is in a position to do so. The company actively monitors the cash flow with the intention to enable a gradual repayment of the outstanding payable position. The company also has a number of subsidiaries which have significant cash balances which can be made available to the company to repay Intercompany loans, if necessary.

Management have considered the impact of the COVID-19 pandemic on the company's ability to continue as a going concern and are satisfied with that basis having reviewed forecasts and future cashflows of subsidiary companies.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

Disclosure of information to auditors

Each of the persons who are directors at the time when this directors' report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Audit committee

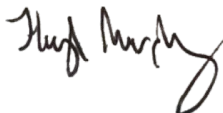
The directors have decided not to establish an audit committee. The ultimate parent, Johnson & Johnson, already has an audit committee and all related financial controls in place which fulfil the financial oversight functions for the group as a whole.

Independent Auditors

The statutory auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office and a resolution that they will be re-appointed will be proposed at the upcoming Board Meeting.

This report was approved by the board on 30 May 2022 and signed on its behalf.

Lorcan Travers
Director

Hugh Murphy 
Director

DIRECTORS' REPORT (CONTINUED)
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021

Going concern

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end €10,405,800,000 (2019: €12,730,382,000).

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Management have considered the impact of the COVID-19 pandemic on the company's ability to continue as a going concern and are satisfied with that basis having reviewed forecasts and future cashflows of subsidiary companies.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

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- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the company's auditors are aware of that information.

Audit committee

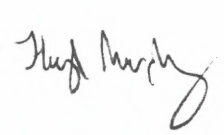
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The statutory auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office and a resolution that they will be re-appointed will be proposed at the upcoming Board Meeting.

This report was approved by the board on 30 May 2022 and signed on its behalf.


Lorcan Travers
Director

Hugh Murphy 
Director

Independent auditors' report to the members of Janssen Pharmaceutical Unlimited Company

Report on the audit of the financial statements

Opinion

In our opinion, Janssen Pharmaceutical Unlimited Company's financial statements:

- give a true and fair view of the company's assets, liabilities and financial position as at 3 January 2021 and of its profit for the year then ended;
- have been properly prepared in accordance with Generally Accepted Accounting Practice in Ireland (accounting standards issued by the Financial Reporting Council of the UK, including Financial Reporting Standard 101 "Reduced Disclosure Framework" and Irish law); and
- have been properly prepared in accordance with the requirements of the Companies Act 2014.

We have audited the financial statements, included within the Annual Report, which comprise:

- the statement of financial position as at 3 January 2021;
 - the income statement for the year then ended;
 - the statement of changes in equity for the year then ended; and
 - the notes to the financial statements, which include a description of the significant accounting policies.
-

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (Ireland) ("ISAs (Ireland)") and applicable law.

Our responsibilities under ISAs (Ireland) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Ireland, which includes IAASA's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Conclusions relating to going concern

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from the date on which the financial statements are authorised for issue.

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

However, because not all future events or conditions can be predicted, this conclusion is not a guarantee as to the company's ability to continue as a going concern.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Directors' Report, we also considered whether the disclosures required by the Companies Act 2014 have been included.

Based on the responsibilities described above and our work undertaken in the course of the audit, ISAs (Ireland) and the Companies Act 2014 require us to also report certain opinions and matters as described below:

- In our opinion, based on the work undertaken in the course of the audit, the information given in the Directors' Report for the year ended 31 January 2021 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.
- Based on our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the Directors' Report.

Responsibilities for the financial statements and the audit

Responsibilities of the directors for the financial statements

As explained more fully in the Directors' Responsibilities Statement set out on page 2, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view.

The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations or have no realistic alternative but to do so.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Our audit testing might include testing complete populations of certain transactions and balances, possibly using data auditing techniques. However, it typically involves selecting a limited number of items for testing, rather than testing complete populations. We will often seek to target particular items for testing based on their size or risk characteristics. In other cases, we will use audit sampling to enable us to draw a conclusion about the population from which the sample is selected.

A further description of our responsibilities for the audit of the financial statements is located on the IAASA website at:

https://www.iaasa.ie/getmedia/b2389013-1cf6-458b-9b8f-a98202dc9c3a/Description_of_auditors_responsibilities_for_audit.pdf

This description forms part of our auditors' report.

Use of this report

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with section 391 of the Companies Act 2014 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Other required reporting

Companies Act 2014 opinions on other matters

- We have obtained all the information and explanations which we consider necessary for the purposes of our audit.
 - In our opinion the accounting records of the company were sufficient to permit the financial statements to be readily and properly audited.
 - The financial statements are in agreement with the accounting records.
-

Other exception reporting

Directors' remuneration and transactions

Under the Companies Act 2014 we are required to report to you if, in our opinion, the disclosures of directors' remuneration and transactions specified by sections 305 to 312 of that Act have not been made. We have no exceptions to report arising from this responsibility.



John Daly
for and on behalf of PricewaterhouseCoopers
Chartered Accountants and Statutory Audit Firm
Cork
2 June 2022

INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDING 3 JANUARY 2021

		Financial year ended 3 January 2021	<i>Financial year ended 29 December 2019</i>
	Note	€000	€000
Net operating expenses		(115)	(120)
Operating loss	4	(115)	(120)
Impairment of investments in subsidiaries	10	—	(58,018)
Income from investment in subsidiaries	6	1,511,187	1,205
Interest payable and similar expenses	7	(59,633)	(283,064)
Other finance income/(expense)	8	873,143	(198,279)
Profit/(loss) before income tax		2,324,582	(538,276)
Income tax expense	9	—	—
Profit/(loss) for the financial year		2,324,582	(538,276)

There were no recognised gains and losses for the financial years ended 3 January 2021 and 29 December 2019 other than those included in the income statement. As a result a statement of other comprehensive income is not presented.

All amounts relate to continuing operations.

The notes on pages 12 - 23 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION
AS AT 3 JANUARY 2021

	3 January 2021	3 January 2021	29 December 2019	29 December 2019
	Note	€000	€000	€000
Non current assets				
Investments in subsidiaries	10	18,736,593		34,713,205
		<u>18,736,593</u>		<u>34,713,205</u>
Current assets				
Trade and other payables: amounts falling due within one year	11	(10,405,800)	(12,730,382)	
		<u>(10,405,800)</u>		<u>(12,730,382)</u>
Net current liabilities				
		<u>8,330,793</u>		<u>21,982,823</u>
Net assets				
Capital and reserves				
Called-up share capital presented as equity	12	7,376,844		14,876,844
Share premium	13	—		3,502,798
Capital redemption reserve	13	337,189		337,189
Other reserves	13	1,304		1,304
Capital contribution	13	368,374		368,374
Merger reserve	13	(4,612,304)		(4,612,304)
Retained earnings	13	4,859,386		7,508,618
Total equity		<u>8,330,793</u>		<u>21,982,823</u>

The financial statements were approved and authorised for issue by the board:

Lorcan Travers
Director

Hugh Murphy
Director

Date: DATE

Date: 30 May 2022



The notes on pages 12 - 23 form an integral part of these financial statements.

**STATEMENT OF FINANCIAL POSITION
AS AT 3 JANUARY 2021**

		3 January 2021	3 January 2021	29 December 2019	29 December 2019
	Note	€000	€000	€000	€000
Non current assets					
Investments in subsidiaries	10		18,736,593		34,713,205
			<u>18,736,593</u>		<u>34,713,205</u>
Current assets					
Trade and other payables: amounts falling due within one year	11	(10,405,800)		(12,730,382)	
Net current liabilities			<u>(10,405,800)</u>		<u>(12,730,382)</u>
Net assets			<u>8,330,793</u>		<u>21,982,823</u>
Capital and reserves					
Called-up share capital presented as equity	12		7,376,844		14,876,844
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Retained earnings	13		4,859,386		7,508,618
Total equity			<u>8,330,793</u>		<u>21,982,823</u>

The financial statements were approved and authorised for issue by the board:

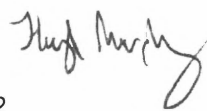
Lorcan Travers
Director

Date: DATE


30/5/22

Hugh Murphy
Director

Date: 30 May 2022



The notes on pages 12 - 23 form an integral part of these financial statements.

**STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 3 JANUARY 2021**

	Ordinary shares €000	Share premium €000	Capital redemption reserve €000	Other reserves €000	Capital contribution €000	Merger reserve €000	Retained earnings €000	Total equity €000
At 30 December 2018	14,876,844	3,502,798	337,189	1,304	368,374	(4,612,304)	8,046,894	22,521,099
Loss for the financial year	—	—	—	—	—	—	(538,276)	(538,276)
Total comprehensive loss for the financial year	—	—	—	—	—	—	(538,276)	(538,276)
At 29 December 2019	14,876,844	3,502,798	337,189	1,304	368,374	(4,612,304)	7,508,618	21,982,823
Profit for the financial year	—	—	—	—	—	—	2,324,582	2,324,582
Total comprehensive gain for the financial year	—	—	—	—	—	—	2,324,582	2,324,582
Dividend Distribution	—	—	—	—	—	—	(15,976,612)	(15,976,612)
Capital reduction	(7,500,000)	(3,502,798)	—	—	—	—	11,002,798	—
At 3 January 2021	7,376,844	—	337,189	1,304	368,374	(4,612,304)	4,859,386	8,330,793

The notes on pages 12 - 23 form an integral part of these financial statements

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

1. General Information

Janssen Pharmaceutical Unlimited Company ("the Company") is an investment holding company. It is a fully owned subsidiary of Johnson & Johnson.

The company is an unlimited entity, incorporated in the Republic of Ireland, under registered number 79963. The address of its registered office is Little Island Industrial Estate, Little Island, Cork, Ireland.

Johnson & Johnson, incorporated in the United States of America, is the company's ultimate parent undertaking.

Johnson & Johnson prepares group financial statements and is both the smallest and largest group for which group financial statements are drawn up and of which Janssen Pharmaceutical Unlimited Company is a member. Copies of the consolidated financial statements may be obtained from the Secretary, Johnson & Johnson Inc., One Johnson & Johnson Plaza, New Brunswick, New Jersey 08933, United States of America.

As Janssen Pharmaceutical Unlimited Company is included in the consolidated financial statements of Johnson & Johnson, it is exempt, by virtue of section 300 of the Companies Act 2014, from the requirement to prepare group financial statements.

As the company is a wholly owned subsidiary of Johnson & Johnson, the group financial statements of which are publicly available, advantage is also taken of the exemption from disclosing transactions with group companies and from presenting a cash flow statement.

These financial statements are the company's separate financial statements for the financial year beginning 30 December 2019 and ending 3 January 2021.

The company's financial year ends on Sunday closest to 31 December, being 3 January 2021 for the current year (53 weeks) and 3 January 2021 for the prior year (52 weeks).

2. Accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

2. Accounting policies (continued)

2.1 Basis of preparation

The financial statements have been prepared on the going concern basis and in accordance with accounting standards issued by the UK Financial Reporting Council and the Companies Act 2014. The financial statements comply with the Financial Reporting Standard 101, 'Reduced Disclosure Framework' ("FRS 101"), The Financial Reporting Standard applicable in the UK and Republic of Ireland and the Companies Act 2014 ("the Act"). The financial statements have been prepared under the historical cost basis with financial instruments designated at fair value through profit or loss on initial recognition.

As permitted by the Companies Act 2014, the directors have adapted the prescribed format of the income statement in a manner appropriate to the nature of the company's business.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 3 JANUARY 2021

2. Accounting policies (continued)

2.1 Basis of preparation (continued)

The directors have elected to apply the amendments to Schedule III Part II of the Companies Act 2014, introduced by the Companies (Accounting) Act 2017, which allows the directors to adopt a balance sheet and profit and loss format in a different way than the formats as prescribed by Section B, provided that the information given is at least equivalent to that which would have been required by the use of such format. To ensure comparability, corresponding amounts have been disclosed in the same format.

The preparation of financial statements in conformity with FRS 101 requires the use of certain accounting estimates and assumptions that affect the reported amount of assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. It also requires management to exercise its judgement in the process of applying the company's accounting policies. Although these estimates are based on management's best knowledge of the amount, event or actions, actual results ultimately may differ from those estimates. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 3 (Critical accounting estimates and judgements).

FRS 101 sets out a reduced disclosure framework for a 'qualifying entity' as defined in FRS 101 which addresses the financial reporting requirements and disclosure exemptions in the financial statements of qualifying entities that otherwise apply the recognition, measurement and disclosure requirements of EU-adopted IFRS.

The company is a qualifying entity for the purposes of FRS 101. Detail of the company's parent and where its consolidated financial statements prepared in accordance with Generally Accepted Accounting Practice considered to be an equivalent to IFRS may be obtained as set out in note 1 to the financial statements.

The company has taken advantage of the following disclosure exemptions under FRS 101:

- the requirements of paragraphs 91-99 of IFRS 13 Fair Value Measurement
- the requirement in paragraph 38 of IAS 1 'Presentation of Financial Statements' to present comparative information in respect of:
 - paragraph 79(a)(iv) of IAS 1;
- the requirements of IAS 7 Statement of Cash Flows
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors
- the requirements in IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member
- the requirements of paragraphs 10(d), 16, 38A, 38B-D, 111 and 134-136 of IAS 1 Presentation of Financial Statements
- the requirements of paragraphs 134(d)-134(f) and 135(c)-135(e) of IAS 36 Impairment of Assets
- the requirements of paragraph 17 of IAS 24 'Related Party Disclosures' (key management compensation).

2.2 New standards, amendments and IFRIC interpretations

There are no amendments to accounting standards, or IFRIC interpretations that are effective for the year ended 4 January 2021 that have a material impact on the company's financial statements.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

2.3 Going concern

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end €10,405,800,000 (2019: €12,730,382,000).

The net current liability position at year-end is primarily due to treasury loans with affiliate companies. Intercompany transactions are settled and renewed with affiliate companies as required with business needs. Affiliate companies only request repayment when the counterparty is in a position to do so. The company actively monitors the cash flow with the intention to enable a gradual repayment of the outstanding payable position. The company also has a number of subsidiaries which have significant cash balances which can be made available to the company to repay Intercompany loans, if necessary.

Management have considered the impact of the COVID-19 pandemic on the company's ability to continue as a going concern and are satisfied with that basis having reviewed forecasts and future cashflows of subsidiary companies.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

2.4 Financial instruments

The company classifies its financial assets in the following categories: at fair value through profit or loss; and loans and receivables. The classification depends on the purpose for which the financial assets were acquired. Management determines the classification of its financial assets at initial recognition.

a. Financial assets at fair value through profit or loss

The following financial assets are classified at fair value through profit or loss (FVTPL):

- Debt investments that do not qualify for measurement at amortised cost
- Equity investments that are held for trading, and
- Equity investments for which the entity has not elected to recognised fair value gains and losses through OCI

b. Financial liabilities at amortised cost

Financial liabilities are measured at amortised cost.

c. Loans and payables

Loans and payables are not-derivative financial liabilities with fixed or determinable payments that are not quoted in an active market. They consist of amounts owed to fellow subsidiaries and are included in current liabilities.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

2. Accounting policies (continued)**2.5 Impairment of financial assets**

Assets carried at amortised cost.

The company assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

2.6 Investment in subsidiaries

Investments in subsidiaries are held at cost, less accumulated impairment losses.

2.7 Cash and cash equivalents

Cash and cash equivalents includes cash on hand, deposits held with banks, other short term highly liquid investments with original maturities of three months or less and overdrafts. In the statement of financial position, bank overdrafts are shown within borrowings in current liabilities.

2.8 Trade and other receivables

Trade and other receivables are amounts due for services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business, if longer), they are classified as current assets. If not, they are presented as non-current assets.

Trade and other receivables are recognised initially and subsequently measured at amortised cost using the effective interest method, less provision for impairment.

The company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all amounts owed by fellow subsidiary undertakings.

To measure the expected credit losses, amounts owed by fellow subsidiary undertakings have been grouped based on shared credit risk characteristics and the days past due.

2.9 Trade and other payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers.

Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. Accruals and deferred income comprise expenses relating to the current year which will not be invoiced until after the date of the statement of financial position, and income received in advance relating to the following year.

2.10 Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from the proceeds.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

2. Accounting policies (continued)**2.11 Foreign currency translation***a. Functional and presentation currency*

Items included in the financial statements of the company are measured using the currency of the primary economic environment in which the company operates ('the functional currency'). The financial statements are presented in Euro (€), which is also the company's functional currency and unless otherwise stated the financial statements have been presented in thousands ('000).

b. Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

2.12 Interest payable

Interest payable is recognised in the income statement on an accruals basis.

2.13 Dividend income

Dividend income is recognised when the right to receive payment is established.

2.14 Dividend distribution

Dividend distributions to the company's shareholders are recognised as a liability by the company's financial statements in the financial year in which the dividends are approved by the company's shareholders.

2.15 Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; or arise from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates that have been enacted or substantively enacted by the date of the statement of financial position and are expected to apply when the related deferred income tax asset or the deferred income tax liability is settled.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

2. Accounting policies (continued)**2.15 Current and deferred income tax**

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

3. Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

3.1. Critical accounting estimates

The company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below:

a) Carrying value of investment in subsidiaries

Investments in subsidiaries are carried at amortised cost. The company assesses at the end of each reporting period whether there is objective evidence that an investment in subsidiary is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss' event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. (Refer to note 10 for details of the carrying value of investments in subsidiaries at year end).

4. Operating loss

The operating loss is stated after charging:

	Financial year ended 3 January 2021 €000	<i>Financial year ended 29 December 2019 €000</i>
Other operating expenses	115	120
Net operating expenses	115	120

The company has no employees. It uses the services of other Johnson & Johnson affiliates.

The directors did not receive remuneration from the company during the financial year (2019: *€nil*).

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

5. Auditor's remuneration

Remuneration for the statutory audit and other services carried out for the company by the company's auditors is as follows:

	Financial year ended 3 January 2021 €000	<i>Financial year ended 29 December 2019 €000</i>
Audit of financial statements (including expenses)	27	<i>27</i>
	27	<i>27</i>

6. Income from investment in subsidiaries

	Financial year ended 3 January 2021 €000	<i>Financial year ended 29 December 2019 €000</i>
Dividends received from investments in subsidiaries	1,511,187	<i>1,205</i>
	1,511,187	<i>1,205</i>

During the financial year, the company has received dividend income from its subsidiaries Depuy Ireland Unlimited Company in amount of €1,400,000,000, Janssen Pharmaceutical Sciences Unlimited Company in the amount of €100,000,000 and Janssen Alzheimer Immunotherapy (Holdings) Ltd in the amount of €11,187,389 (2019: Johnson & Johnson European Treasury Company €1,204,721).

7. Interest payable and similar expenses

	Financial year ended 3 January 2021 €000	<i>Financial year ended 29 December 2019 €000</i>
Interest payable to subsidiary undertakings	59,633	<i>283,064</i>
	59,633	<i>283,064</i>

8. Other finance (income)/expense

	Financial year ended 3 January 2021 €000	<i>Financial year ended 29 December 2019 €000</i>
Differences arising on translation of foreign currency assets and liabilities	(873,143)	<i>198,279</i>
	(873,143)	<i>198,279</i>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

9. Income tax expense

	Financial year ended 3 January 2021 €000	Financial year ended 29 December 2019 €000
Tax on profit/(loss)	<u>—</u>	<u>—</u>

Factors affecting tax charge for the financial year

The tax assessed for the period is lower than (2019 - *higher than*) the standard rate of corporation tax in the Ireland of 12.5% (2019 - 12.5%). The differences are explained below:

	Financial year ended 3 January 2021 €000	Financial year ended 29 December 2019 €000
Profit/(loss) before income tax	<u>2,324,582</u>	<u>(538,276)</u>
Loss multiplied by standard rate of corporation tax in Ireland of 12.5% (2019 - 12.5%)	290,573	(67,285)
Effects of:		
Expenses not deductible for tax purposes	7,469	67,436
Non-taxable income	(298,042)	(151)
Total tax expense included in the income statement	<u><u>—</u></u>	<u><u>—</u></u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021**

10. Investment in subsidiaries

	Investments in subsidiary undertakings €000
Cost or valuation	
At 30 December 2019	34,771,223
At Disposals (i)	<u>(15,976,612)</u>
At 3 January 2021	<u>18,794,611</u>
Impairment	
At 30 December 2019	58,018
Charge for the year	<u>—</u>
At 3 January 2021	<u>58,018</u>
Net book value	
At 3 January 2021	<u><u>18,736,593</u></u>
<i>At 29 December 2019</i>	<u><u>34,713,205</u></u>

(i) On 30 November 2020 the Company transferred its investment within Ethicon PR Holdings Unlimited Company to Cilag GmbH International in the amount of €15,976,612,000. The company proposed to transfer by way of the interim distribution in specie its entire right, title and interest in and to the entire issued share capital of Ethicon PR Holdings Unlimited Company to its sole shareholder Cilag GmbH International.

The company performed an impairment review on the investment in subsidiaries, as a result of this review an impairment in the amount of €nil (2020: €58,018,000) was recognised in the income statement. The impairment in the amount of €58,018,000 in 2019 was based on a valuation carried out on 31 July 2020 by an independent valuer, KPMG, who holds a recognised and relevant professional qualification and has recent experience in fair market valuation calculations of investments in subsidiaries.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021 (continued)**

10. Investment in subsidiaries (continued)**Subsidiary undertakings**

The following were subsidiary undertakings of the company:

Name	Country of incorporation and registered office	Class of shares	Holding (%)	Principal Activity
Jansen Pharmaceutical Sciences Unlimited Company	Little Island Industrial Estate, Little Island, Co Cork, Ireland	Ordinary	99.99%	Manufacture and distribution of pharmaceutical and medical products
Janssen Alzheimer Immunotherapy (Holdings) Ltd	Little Island Industrial Estate, Little Island, Co Cork, Ireland	Ordinary	100%	Holding company
OMJ Holding GmbH	Gubelstrasse 34, 6300, Zug, Switzerland	Ordinary	100%	Holding company
Depuy Ireland Unlimited Company	Loughbeg Industrial Estate Ringaskiddy, Co. Cork	Ordinary	100%	Production and supply of orthopaedic medical devices
Johnson & Johnson European Treasury	C/o Janssen Pharmaceutical, Little Island	Ordinary	99.99%	Investment company
Johnson & Johnson Vision Care (Ireland)	The National Technology Park, Plassey Limerick, Ireland	Ordinary	100%	Manufacture and distribution of eye care products

The directors consider the value of the company's investment in the unlisted undertakings to be not less than the amount stated in the company's statement of financial position.

11. Trade and other payables: Amounts falling due within one year

	Financial year ended 3 January 2021 €000	Financial year ended 29 December 2019 €000
Trade payables	115	27
Amounts due to fellow subsidiary undertakings	10,405,685	12,730,355
	10,405,800	12,730,382

Amounts due to fellow subsidiary undertakings are unsecured, are interest bearing with a rate of 0.32% at year end (2019: 1.73%) and are repayable on demand.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021 (continued)**

12. Ordinary shares

	Financial year ended 3 January 2021 €000	<i>Financial year ended 29 December 2019 €000</i>
Shares classified as equity		
Authorised		
16,000,000,000 (2019 - 16,000,000,000) Ordinary shares of € 1.25 each	<u>20,000,000</u>	<u>20,000,000</u>
Allotted, called up and fully paid		
5,901,474,820 (2019 - 11,901,474,820) Ordinary shares of € 1.25 each	<u>7,376,844</u>	<u>14,876,844</u>

On 24 November 2020, the Company implemented a share capital reduction, in accordance with section 1252 of the Companies Act and the constitution of the Company, to be effected by the cancellation of 6,000,000,000 ordinary shares of €1.25 each registered in the name of Cilag GmbH International, amounting to €7,500,000,000 and the treatment of such amounts as profits available for distribution by the company (the "Share Capital Reduction").

13. Other reserves

The share premium account represents the amounts paid in excess of the nominal value of ordinary shares by the shareholder of the company in respect of ordinary shares issue.

During the financial year 2017 there was a reduction in share premium of €241,073,000 relating to the redemption of shares issued to Ethicon Ireland. Share premium of €7,215,247,000 was reclassified to merger reserve, arising from the merger with Janssen Pharmaceutical International Holdings.

On 24 November 2020, the Company implemented a share capital reduction, in accordance with section 1252 of the Companies Act and the constitution of the Company, to be effected by the cancellation of the entire amount of the Company's share premium account in the amount of €3,502,798,000, and the treatment of such amounts as profits available for distribution by the company (the "Share Capital Reduction").

Capital redemption reserve

On 5th December 2017, issued shared capital was reduced by 76,892,677 ordinary shares held by Ethicon Ireland Unlimited Company, without any consideration being paid in respect thereof.

Other reserves

Share based payment reserve of €1,304,000 was reclassified to other reserves in 2017. On 1 January 2017 all Janssen Pharmaceutical Unlimited Company employees were transferred to Janssen Pharmaceutical Sciences Unlimited Company.

Capital contribution

The capital contribution account at 3 January 2021 and 29 December 2019 is €368,374,000 which represents a contribution of €298,564,000 in the form of investments in subsidiaries and €69,810,000 in the form of intercompany receivables by the company's holding company, Johnson & Johnson Inc..

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 3 JANUARY 2021 (continued)**

13. Other reserves (continued)**Merger Reserve**

On 23 December 2016, Janssen Pharmaceutical International Holdings Limited merged with the company and transferred its assets and liabilities to Janssen Pharmaceutical Unlimited Company which resulted in a negative merger reserve of €6,900,000,000.

On 20th March 2018 OMJ PR Holdings Limited merged with Janssen Pharmaceutical Unlimited Company and transferred its assets and liabilities to Janssen Pharmaceutical Unlimited Company resulting in a positive movement to the merger reserve of €2,300,000,000.

14. Subsequent events

On 29 July 2021 the company's sole shareholder, Cilag GmbH International, injected further capital into the company by way of subscription of 1,000,000 ordinary shares of €1.25 each in the capital of the company.

On 30 November 2021, the company changed its name from Janssen Pharmaceutical to Janssen Pharmaceutical Unlimited Company.

On 10 March 2022 the Company's sole shareholder, Cilag GmbH International proposed to inject further capital into the Company by way of a subscription for 1,000,000 ordinary shares of EUR 1.25 each in the capital of the Company. With this injection of capital the Company proposes to repay \$1,500,000,000 of an intercompany debt owed to Johnson & Johnson European Treasury Unlimited Company.

There have been no other significant events affecting the company since the year end.

15. Approval of financial statements

The financial statements were approved and authorised for issue by the board of directors on 30 May 2022 and were signed on its behalf on that date.